credibility of their core promise of stability to investors.

Nowhere in the Gulf has the psychological impact of the war been felt more sharply than in the UAE, which, for decades, sold itself as the haven where capital, energy, talent and ambition converged and prospered in a relatively liberal air. During the war, the UAE alone intercepted over 550 missiles and more than 2,200 drones. Missile debris, disrupted flights, falling tourism numbers and shaken investor sentiment tested its "safe harbour" image. Beneath the spectacle of war, a quieter crisis is unfolding. As an Indian expatriate in Dubai, who lost his job as shipping routes collapsed, put it: "You don't just walk away from this life. But you don't know what comes next either." This is the Gulf's human story—millions of expatriates suspended between stability and uncertainty.

India, indeed, has high stakes in the Gulf's stability, and the shock of the war has been particularly acute for it. The Gulf is not just a major source of energy—with India importing 30 per cent of its crude oil through the Strait—but also a lifeline. Close to 10 million Indian expatriates live and work across the region. Annually, they remit $51.5 billion (Rs 4.7 lakh crore), or a third, of India's total remittances of $135.5 billion (Rs 12.5 lakh crore). As the airspace closed, shipping slowed, raising insurance costs, the ripple effects hurting India's economy, including fuel prices, freight costs, aviation routes, financial markets and even the value of the rupee.


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THE UNITED STATES OF THE GCC

One of the most striking features of this conflict has been the response of the Gulf states themselves. Despite being targeted, they have largely chosen restraint over escalation. Saudi Arabia, for instance, has faced repeated missile and drone attacks on its economic infrastructure. Instead of retaliating, the nation focused on continuity, keeping its oil flowing, its markets stable and escalation in check. Its East-West Petroline, built decades ago, allowed it to reroute a large portion of its exports away from Hormuz, demonstrating both foresight and resilience. Even in the UAE, the government's instinct was to stabilise—through liquidity support, business relief and visible leadership outreach.

And if the war has exposed the Gulf's vulnerabilities, it has also sparked new thinking. Oman, quietly and characteristically, is pointing to an alternative future. Its proposition is deceptively simple: reduce the world's dependence on the Strait of Hormuz. Omani ports like Duqm and Salalah, located outside the Strait and opening directly onto the Indian Ocean, could serve as alternative gateways for energy and trade. Pipelines, rail links and logistics corridors could connect Gulf producers to these ports, bypassing chokepoints. But this is not just a regional project. It requires global participation and massive finances. Countries like India, China and Japan, whose economies depend heavily on Gulf energy, would need to invest in, and support, such infrastructure.

It is a long-term solution. But the war has made one thing clear: the old template is obsolete. Across all six Gulf states, one strategic objective has come into sharp focus: containment of Iran. Not regime change but a calibrated outcome that could see it incapable of harming its neighbours, whether through missiles, militias or nuclear capability. Also, one that cannot threaten energy infrastructure or critical maritime routes.

How that objective is achieved, however, remains deeply contested, as assessments by seven experts from the region, who have penned columns in the following pages, indicate. Diplomacy is the preferred path, with mediation efforts from Oman to Pakistan to China reflecting a collective push to avoid escalation. Force, they believe, should remain a last resort and not a first impulse as Trump has demonstrated. Yet beneath this preference lies a hard realism. Iran is not a conventional actor; its radical ideological framework and religious embrace of martyrdom do complicate the use of traditional deterrence measures. There is also a growing recognition that a weakened but vengeful Iran may prove more dangerous than a stable one.